

BRIEFING NOTE • SEPTEMBER 2026

United States in 2026

Growth under an oil shock, trade policy after the Supreme Court, and the future of the dollar

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Data as of 29 September 2026



Five steps to understanding the US today

01

Economy and society

Growth, inflation, debt, energy, AI, strengths and constraints

02

America and the world

Tariffs, the Iran war, China and Russia

03

The case for engaging Washington

What allies, rivals and investors gain, and the limits

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The monetary dimension

The Fed, the dollar, gold and stablecoins

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Areas for further analysis

Nine dimensions for a complete picture

Solid growth, inflation pushed up by oil

+2.1%

GDP growth in 2025

Fed projects 2.3% for 2026

+1.5%

**GDP, Q2 2026
(annualised)**

Down from 2.1% in Q1

3.4%

CPI inflation, August

Core 2.4%; gasoline +27% y/y

4.1%

Unemployment, August

+162,000 jobs in the month

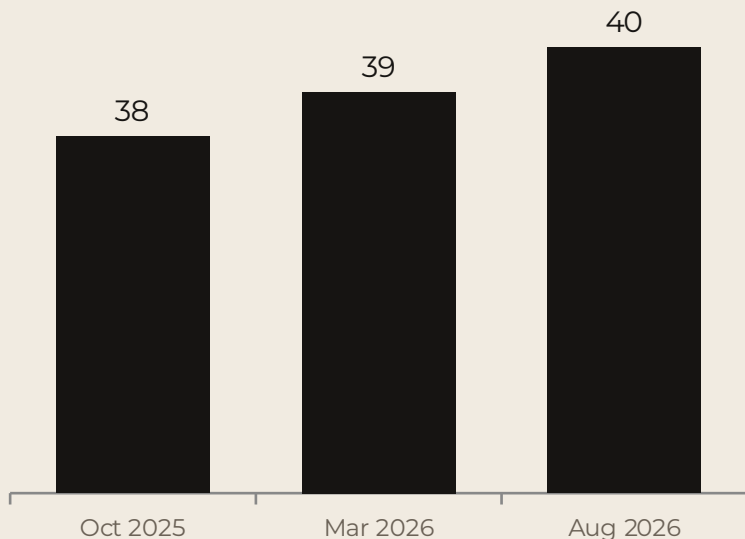
What drives it: consumer spending and a massive AI investment cycle; the Fed notes that productivity growth is strong.

What weighs on it: the Iran war and disruption in the Strait of Hormuz have pushed energy prices up 16% in a year, feeding headline inflation.

Reading note: US quarterly GDP is reported at an annualised rate; inflation figures are year-on-year. Core inflation excludes food and energy.

\$40 trillion of debt, and rising yields

Gross federal debt (\$ trillion)



Axis starts at \$30 tn to show the pace: +\$2 tn in ten months. The \$40 tn mark was crossed on 19 August 2026.



FY2026 deficit projected at \$2.1 tn (CBO), up from \$1.9 tn expected in February.



Supreme Court struck down IEEPA tariffs (Feb 2026): ~\$100 bn refunded; customs revenue ~\$250 bn below plan.



10-year Treasury yield at 5.26% (29 Sep), up 1.1 points in a year.



Government funded only until 11 December; the \$41.1 tn debt ceiling could bind from late 2026.

Two engines: record oil output and the AI build-out

13.8 mb/d

**record US crude output expected
in 2026**

EIA, Sep 2026

\$102

Brent per barrel, 29 Sep 2026

+55% over one year

\$794 bn

hyperscaler capex in 2026

AI investment $\approx$ 1.8% of US GDP



The oil shock: the Iran war and the Strait of Hormuz

- Hormuz closed from mid-March to April 2026; Brent peaked at \$126 on 30 April
- September: renewed US-Iran strikes, Hormuz transits down to single digits a day, Saudi East-West pipeline hit
- Washington offers up to 40 m barrels from the Strategic Petroleum Reserve; high prices also lift US producers

Unmatched assets, rising vulnerabilities



Strengths

- World's largest economy and deepest capital markets
- Leader in AI: \$581 bn of AI investment in 2026
- Record oil output; a major LNG exporter
- Strong productivity growth (Federal Reserve)
- The dollar: 57% of global FX reserves



Constraints

- Public debt at \$40 tn; 10-year yields above 5%
- Inflation above target, driven by energy
- Trade policy reshaped by courts: legal uncertainty for importers
- Recurring budget stand-offs; funding only to 11 December
- Political polarisation ahead of the 3 November midterms

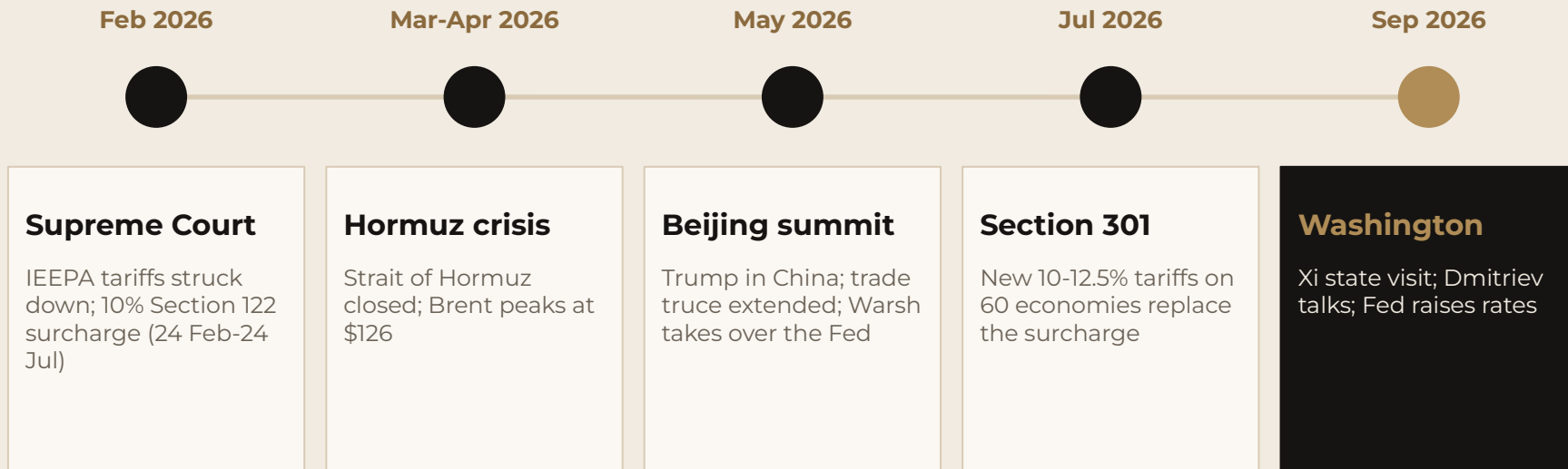
02

America and the world

Tariffs, the Iran war, China and Russia



2026: courts, war and summits



Pattern: tariff policy survives through changing legal bases, while diplomacy is driven by leader-level summits and personal envoys.

September in Washington: a diplomatic month



Xi Jinping's state visit, 23-25 Sep

- First state visit by a Chinese leader since 2015
- Reciprocal tariff cuts on \$30 bn of “non-sensitive” goods
- A US-China dialogue on AI and a Board of Trade
- Chinese purchases of US coal and farm goods
- Taiwan, Iran and chips remain unresolved
- Next meeting: APEC in Shenzhen, November

Also this month



Fed hikes, 16 Sep

First rise after five holds: 3.75-4.00%, voted 12-0, citing oil and inflation.



Dmitriev talks, 28-29 Sep

Putin's envoy meets Treasury and Energy officials on Ukraine and post-war energy projects.



Energy ceasefire push

At the UN, Washington pushes a Russia-Ukraine halt to strikes on energy infrastructure.

Four fault lines to watch



Trade and the law

After the Supreme Court ruling, new Section 301 tariffs on 60 economies face litigation; partners negotiate case by case.



Iran and energy security

Military control has not restored normal shipping through Hormuz; oil stays above \$100.



China tech rivalry

Chips, export controls, rare earths and Taiwan remain outside the September deal.



Domestic politics

Midterms on 3 November, a funding deadline on 11 December and a debt ceiling ahead.

Assessment: US power is intact, but its use is more transactional and less predictable, which raises risk premia for partners.

What partners gain, and the limits



Allies

- Energy supply (oil, LNG) during the Gulf crisis
- Security guarantees
- Tariff relief through negotiation
- Access to US AI and technology



Rivals

- Tariff and sanctions relief
- Access to the US market and finance
- Stability to deliver domestic plans
- Crisis channels to avoid escalation



Investors

- The world's deepest capital markets
- Demand from the AI build-out
- Dollar liquidity and Treasury yields above 5%
- Energy-sector opportunities

Limit: deals with Washington are transactional and reversible: court rulings, Congress and elections can change the terms quickly.

04

The monetary dimension

The Fed, the dollar, gold and stablecoins



A new chair, and a rate hike

3.75-4.00%

Fed funds target range

Raised 16 Sep 2026, 12-0 vote

3.4%

**core PCE inflation
projected for 2026**

Fed SEP; target 2%

5.26%

10-year Treasury yield

29 Sep 2026

Warsh

**Fed chair since 22 May
2026**

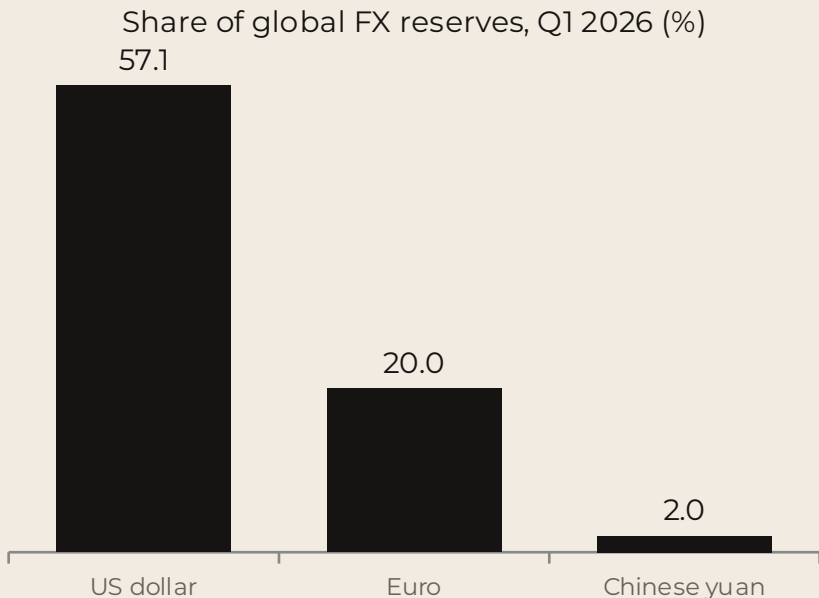
Succeeded Jerome Powell

Why it matters: the first hike after five holds signals that the Fed will lean against an oil-driven inflation rebound; its projections imply another rise by year-end.

Market view: futures price around a 70% chance of a further hike in October; higher US rates support the dollar and tighten global financing.

To watch: how a new chair balances an oil shock, political pressure for lower rates and \$40 tn of debt to refinance.

The dollar: still the anchor of the system



Allocated reserves (IMF COFER). The dollar's share rose from 56.4% in Q4 2025, half of it from currency moves.

101

Dollar index (DXY)

25 Sep 2026

\$13.1 tn

global FX reserves

Q1 2026

\$4,170

gold per ounce

29 Sep; record \$5,608 in Jan 2026

\$40 tn

US federal debt

Foreign demand is the key test

No digital dollar, but dollar stablecoins



No US central bank digital currency

A January 2025 executive order bars federal work on a retail CBDC; Washington backs private stablecoins instead.



The GENIUS Act

Signed July 2025; takes effect by 18 January 2027. Treasury proposed issuance rules in August 2026 (60-day comment period).



A \$320 bn market

Stablecoins passed \$320 bn in April 2026; USDT holds ~58%, USDC ~\$78 bn. They carry 75% of crypto trading.



What it means for business partners

- Dollar funding is dearer: higher US rates and a firm dollar
- Tariff exposure: 10-12.5% Section 301 duties; check IEEPA refund claims
- Stablecoins extend the dollar's reach; foreign issuers face GENIUS Act rules
- Oil above \$100 and US elections add volatility: hedge FX and energy

Nine dimensions for a complete picture



Midterms

Congress after 3 November



Fed independence

New chair, political pressure



Debt dynamics

Interest costs, debt ceiling



Trade law

Section 301 litigation, refunds



Middle East

Iran, Hormuz, Gulf partners



AI boom

Capex, power demand, bubble risk



China

Tech controls, Taiwan, trade



Alliances

NATO, Europe, Japan, burden-sharing



Labour and migration

Immigration policy, labour supply

KEY TAKEAWAYS

Strong engine, higher risk premium

1

Resilient growth, sticky inflation

AI investment and consumers keep growth near 2%; oil keeps inflation above 3%.

2

Trade policy reset by the courts

IEEPA tariffs struck down and refunded; Section 301 duties now carry the strategy.

3

Energy power in an oil shock

Record output cushions the US, but Hormuz keeps Brent above \$100.

4

The dollar still dominates

57% of reserves and a rising Fed rate, while debt reaches \$40 tn.

Next: midterms 3 Nov; APEC in Shenzhen in Nov; funding deadline 11 Dec.

SOURCES

Main sources

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- IMF COFER data brief (1 Jul 2026)
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- NPR: Kevin Warsh confirmed (May 2026)
- CBS News: stopgap funding to 11 December

Method: official US statistics (BEA, BLS, Fed, CBO) cross-checked with market data and independent outlets. Figures as reported on 29 September 2026.

